



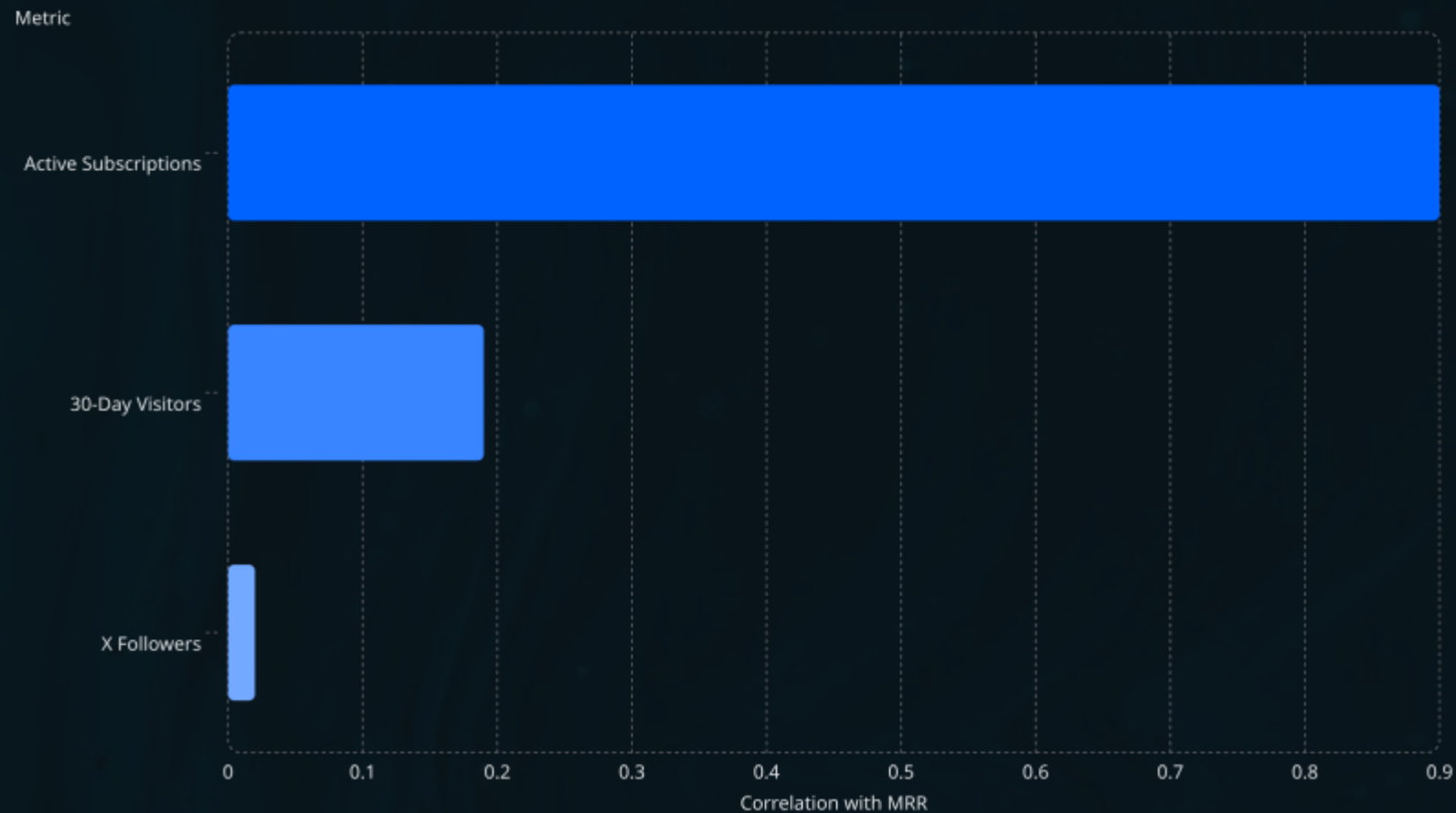
The Anti-Hype Arbitrage

Finding Alpha in 1,000 Micro-Startups: Why we ignore vanity metrics and buy actual cash flow.

MICRO-STARTUP M&A STRATEGY

Visibility ≠ Cash Flow

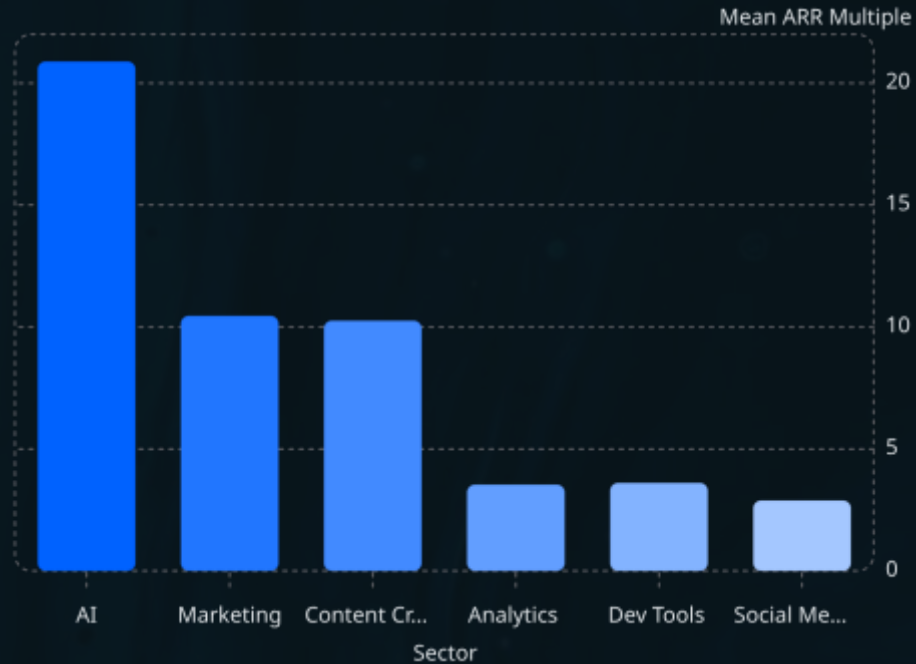
We ran a correlation analysis against Monthly Recurring Revenue across the full dataset. The results destroy the "audience first" myth.



Active subscriptions drive **0.90 correlation** with MRR — the only metric that matters. Social signaling does not translate to enterprise value.

The "AI Premium" is Dangerous

When we map mean revenue multiples (Asking Price $\div$ ARR) by industry, a massive disconnect emerges between price and utility. The market is paying hyper-inflated multiples for trending categories — creating massive downside risk for disciplined acquirers.



AI: 20.89×

Priced for absolute perfection. Zero margin for error.

Marketing: 10.46×

Half the AI premium, still dangerously overpriced.

Content: 10.26×

Trend-chasing multiples with no utility moat.

Buy "Boring". Buy Yield.

The alpha lies in utility-driven, unglamorous software categories trading at rational multiples while generating strong median MRR.

Analytics —
3.54×

Median MRR: \$1,294

Dev Tools —
3.61×

Sticky, critical
infrastructure

Social Media Tools — 2.89×

Lowest multiple in the dataset

Acquire stable, high-MRR assets in Analytics for ~3.5× ARR — a fraction of the cost of an AI startup. The market is sleeping on these categories while we deploy capital.

✓ **The arbitrage:** Same cash flow. 5× lower entry price.



Our Target Matrix

01

The Filter

Ignore startups leading with X followers or raw traffic. We only buy on **Active Subscription volume**.

02

The Sector

Aggressively target **Analytics and Dev Tools**. Critical, sticky problems — no hype tax.

03

The Price

Cap all offers at **4.0× ARR**. Let retail buyers overpay for AI. We systematically buy yield.

Deploy Capital